A step-by-step guide to building your trading watchlist every single morning.

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Your watchlist is your preparation. A focused, well-researched list of 3 to 5 names is infinitely more valuable than 50 stocks you cannot properly track. The goal of your morning scanning process is not to find every opportunity — it is to find your best 3 to 5 and ignore everything else.

STEP 1

Run Your Pre-Market Scanner

Filter for stocks with significant pre-market volume — at least 2x their normal pre-market average. These are the stocks that something is happening to. Volume is the first signal. No volume, no interest — skip it.

STEP 2

Identify the Catalyst

Every high-conviction pre-market mover should have a clear reason. Earnings beat or miss, FDA approval or rejection, major contract announcement, analyst upgrade with a significant price target change. Random gap ups with no news have poor follow-through. Catalyst-driven moves have urgency behind them.

STEP 3

Evaluate the Technical Setup

Is the stock at a key technical level? Breaking out of a multi-week base? Testing major support? The best trades combine a real catalyst with a clean technical setup. Either alone is inferior. Together they create high-probability trades.

STEP 4

Evaluate Float and Short Interest

For momentum plays, float and short interest matter significantly. Lower float stocks move more on the same volume. High short interest combined with a bullish catalyst creates short squeeze potential that can dramatically amplify the move.

STEP 5

Rank and Cut Ruthlessly

After filtering you may have 10 to 15 candidates. Rank them by total conviction — catalyst quality plus technical setup quality plus float profile. Cut to your top 5. Then consider cutting to your top 3. Ignore every stock not on your final list once the market opens.

WATCHLIST SCORING SYSTEM

Score 1 to 3 in each category. Total 9 to 12 = strong candidate. Under 6 = skip.

CRITERIA	1 POINT	2 POINTS	3 POINTS
Catalyst quality	Vague or unconfirmed	Real but minor news	Strong: earnings beat, FDA, major deal
Pre-market volume	1 to 2x average	2 to 5x average	5x or higher above average
Technical setup	No clear level	Some structure	Clean level, pattern, or base breakout
Float profile	Large cap, low vol	Mid cap	Small cap with high short interest
Risk/reward	Stop too far	Reasonable	Stop tight, target clear, 3:1 or better

RED FLAGS — WHAT TO EXCLUDE

RED FLAG	WHY IT IS DANGEROUS	WHAT TO DO INSTEAD
Moving pre-market on no news	No thesis to defend when it reverses	Wait for a clear catalyst before adding to watchlist
Too many names in same sector	One move hits all — hidden correlation	Choose the single best name, ignore the rest
Cannot find a clear stop level	If you cannot define risk, you cannot size correctly	Skip it — no defined stop means no valid trade
Already up 20%+ pre-market	The move has happened — you are buying someone else's gain	Wait for a pullback setup or skip it
Earnings today (unintentional)	Binary event — can gap 15%+ either direction	Only trade earnings if that is your specific strategy

> **TST CORE PRINCIPLE**
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> The hardest discipline in trading is saying no to setups that almost meet your criteria. A 7 out of 12 on your scoring system is not a trade — it is a distraction from your real opportunities. Selectivity is the edge.

Full scanning methodology and screener settings covered in the TST Academy at topstocktrading.com